

Response Speech at Motion “An Artificial Intelligence (AI) Transition with No Jobless Growth”

Minister Tan See Leng, Parliament House

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A. NAVIGATING AI DISRUPTION

1. Mr Speaker Sir, let me begin by acknowledging what many Singaporeans are feeling right now. Uncertainties. Anxieties. A sense that the ground is shifting beyond what it used to be, with trade tensions, fragility in supply chains, wars in the Middle East and a sharp rise in oil prices. Closer to home, members of Parliament are also feeling something that weighs on the minds of all of our fellow Singaporeans – the anxiety that Artificial Intelligence (AI) may erode our skills and our experience built up over the years. This anxiety has been sharpened by news of large technology firms announcing layoffs attributed to AI adoption.
2. These are legitimate concerns, and we take it seriously. Change of this magnitude is indeed unsettling. But AI can create and will create opportunities that we cannot foresee.
3. But there are, at the same time, early signs that give us reason for cautious optimism. Recent global surveys show that two in three companies that made early hires of AI talent are rehiring. Why is that so? Because they found that AI could handle the predictable and the routine, but customers still wanted human judgment, empathy, and the ability to provide.
4. Let me offer a small illustration of my own. In the preparation for my speech today, my team used AI to help refine their work to me. It surfaced useful references, a study showing only about 6% of firms in Singapore have reduced headcount due to AI adoption. But one thing it could not appreciate was the impact and anxiety that AI adoption could not understand nuance, nor could it generate policy responses that capture the essence of what workers are really experiencing. This is what no AI can do.

B. OUR COMMITMENTS FOR THE AI ERA

5. The Motion before us makes four commitments. The Government and MOM takes each one seriously – all of them as a foundation to build on, and go beyond.

Harnessing AI for Singapore's Growth

6. Mr Ng Chee Meng spoke about the transformative impact of AI on our workforce. The Government has long recognised AI's potential. Our current efforts build on what we have already done in this space.
7. We formed our first National AI Strategy in 2019, well before the introduction of ChatGPT, and we embarked on national AI projects in areas such as education and municipal services.
 - a. When large language models exploded onto the scene in late 2022, making AI accessible and general-purpose, we refreshed our strategies with the National AI Strategy. We developed plans to invest over \$1 billion in AI compute capabilities, talent and industry development. This included establishing AI Centres of Excellence and growing AI talent.
 - b. As AI picked up speed and interacted with major shifts in our external environment, we convened the Economic Strategy Review (ESR) last year to sharpen our economic strategy.
 - c. And more recently at Budget this year, we formed the National AI Council chaired by the Prime Minister to drive the practical transformation of our economy.
8. At every step, we have acted proactively with our tripartite partners to drive concrete action and transformation across the sectors. As a result, while we will face an uncertain future, we can do so with some confidence and we are not totally unprepared.

Inclusive Growth for All

9. Various members have raised concerns over the impact of AI on job displacement and many have also put forward thoughtful suggestions on how we can be through this transition. We hear your concerns and we welcome the suggestions raised by members on both sides of the House.
10. There is, in fact, broad agreement across this House on what we are trying to achieve, which is inclusive growth for all in this AI transition. Where we may differ is on the approach. Our approach has always been to invest in our people, keep our workers economically valuable, and shape how the gains from AI are created and shared. Rather than want to inspire and motivate our workforce to continue to grow.

11. Mr Gerald Giam and Mr Andre Low highlighted structural threats to inclusive growth. I appreciate the seriousness with which they have engaged on this issue question is where and how to intervene. Mr Giam proposed a "National AI Equity Fund" to pay every Singapore citizen \$500 funded by the companies that benefit payout for those displaced through Redundancy Insurance.

12. I recognise the need to strengthen our systems to ensure that no one falls through the gap in this transition. And I agree that the broad sharing of productivity – because markets alone will not guarantee good social outcomes. Let me be clear: the Government has always known this, and has always been acting on it.

13. Both Mr Giam's and Mr Low's proposals rest on a more pessimistic premise: that Singaporeans are essentially passive passengers in the AI transition, without and can only rely on support for a journey they cannot steer. I cannot and would not hold on to such a premise.

14. Both their proposals are not empowerment. To me, it is a settlement — resigned to the fact that mass displacement is inevitable and that the best we can do more confidence in the tenacity and adaptability of our fellow Singaporeans.

15. Redistribution alone is insufficient if workers are excluded from the economy. Singapore's tradition has been to invest in people rather than to compensate them true policy tradition, rather than what you have described, Mr Low. The better use of any surplus generated by AI adoption is to fund accessible and effective initiatives. To that end, the Government has spent over \$10 billion over the last five years on local workforce initiatives.

16. The choice before us, members of the House, is between two very different visions. One says: you get a hand-out, and with that, a small share of the pie that the other hand, we feel that you deserve the opportunity to grow the pie with the machines, and share in our economic prosperity through good jobs and good wages.

17. The first vision may initially seem generous but ultimately caps and diminishes your broader end objectives. The second demands more from the Government from workers — but it treats all of our fellow Singaporeans as capable adults with futures worth investing in, not as a population to be managed through transfers.

18. Members of the House, I believe the second vision is possible. Because as AI transforms how we work, some jobs will evolve, some jobs may disappear. But same ship moving together, I believe we will prevail. And as Mr Mark Lee and Ms Yeo Wan Ling said, it also creates new opportunities for businesses and workers help all of our workers and our businesses to seize them, so we should never build a case in this debate on angst and on apprehension.

19. Our approach is not to fear the future; let's forge the future ourselves. That is the true Singapore spirit. We have seen through each wave of technology and economic spirit.

20. But we are not complacent. MOM is closely monitoring AI's impact on our workforce. Our inaugural survey of firms shows that AI is currently augmenting rather than replacing jobs in Singapore.

a. Only about 3 in 10 firms have adopted AI currently.

b. Among firms that have adopted AI, only a small minority – about 6% reported reduced headcount. More commonly, firms are redesigning jobs and creating new jobs that AI is changing how work is done, how they are being reorganised, rather than reducing jobs.

c. 7 in 10 firms using AI are already seeing productivity gains.

21. However, as I've said, we should never be complacent. We must be prepared that as AI adoption gains pace, momentum and scale, its impact on jobs would prepare ourselves. We have the goal to enable more businesses to succeed. At the same time, where their workers use AI to do better jobs rather than be replaced by more fulfilling, more meaningful, not less, and where the benefits of AI are shared between the businesses themselves and the workforce.

22. For workers seeking a more flexible pace of work, AI can enable new forms of flexible work and fractional work, done by small teams or even solopreneurs. Everyone who participates in our workforce, including seniors, as Ms Poh Li San spoke about. We will explore how to scale flexible work models through the Tripartite Workforce Development Agency (SWDA) Bill, the formation of SWDA will bring the skills and employment facilitation capabilities of SSG and WSG under one roof, integrated, for individuals and employers to obtain the appropriate support.

Empowering Workers and Supporting Businesses

23. Dr Hamid Razak spoke about the hesitation and anxieties he heard from the ground, especially among older PMEs who wonder if their skills still have a place in business to be better supported.

24. Let me share what Government is doing to prepare individuals and businesses for this transition.

25. First, we are reforming our workforce and skills support system to deliver more timely and effective support. As I shared after a five-hour debate yesterday on Workforce Development Agency (SWDA) Bill, the formation of SWDA will bring the skills and employment facilitation capabilities of SSG and WSG under one roof, integrated, for individuals and employers to obtain the appropriate support.

a. We agree with Mr Ng Chee Meng that this intelligence that we have in gleaming and harvesting all the data we have in SWDA, must continue to be built forward to working with tripartite partners to ensure our assessment of the labour market continues to be grounded and also current.

b. This will be an important part of how we stay ahead of disruption and support workers affected by AI-driven changes. This includes platform drivers facing vehicles, as Ms Yeo Wan Ling highlighted. MOM and SWDA are already working closely with MOT and tripartite partners to strengthen transition pathways for the deployment. I want to add that SWDA is actually a proxy, but SSG and WSG are working closely with MOT currently.

26. Second, we will do more to improve Singaporeans' AI literacy.

a. Today, there are over 1,600 AI-related courses on the MySkillsFuture website. We will introduce diagnostic tools for individuals to assess their current level which suit their needs, deliver proven training outcomes that are aligned with employer demand.

b. From the second half of this year, Singaporeans who enrol in selected SkillsFuture AI courses will receive six months of free access to premium AI tools, from classroom learning to their daily lives and work.

27. Mr Kenneth Tiong suggested to make this access universal, without condition.

a. That was something that the Government considered carefully.

b. But not all Singaporeans require frontier, agent-grade tools. For many, free versions are good enough and widely available.

c. By tying subsidies to training, we are better able to target those who are more serious about levelling up their use of AI, and we help them make optimal use of tools.

d. With light conditions on training, access to these premium subscriptions will still be widely available to all. As Associate Professor Terence Ho and Mr Alvin Tan hope Singaporeans will tap on the resources available and be proactive in their learning journey.

e. As MOS Jasmin shared, IMDA will also be expanding the TechSkills Accelerator programme to develop AI-bilingual workers, starting with accountancy, information technology, and engineering.

f. More details will be shared in due course.

28. Third, to support businesses, I have also emphasised time and again we have set aside over \$400 million for the Enterprise Workforce Transformation Package. We will explore whether grants could be tied to worker outcomes conditions. Today, businesses tapping on the Workforce Development Grant (Job Redesign+) are required to support wage growth and retention as part of their transformation plans.

a. Later this year, eligible businesses will also receive \$10,000 under the redesigned SkillsFuture Enterprise Credit. This can be used to offset out-of-pocket costs for transformation programmes including those under the EWTP.

29. We agree with Mr Mark Lee that Trade Associations and EWTP addresses these issues while ensuring that the workforce is brought along on the journey. Chng Joo Keng's role in connecting firms with the right expertise and resources. This is why we have appointed SNEF and SBF as anchor programme partners for the EWTP, so that their expertise can be brought directly to firms, and can help accelerate AI adoption across sectors.

30. We are also supporting the Labour Movement's efforts to transform businesses and workers. The Government topped up the NTUC Company Training Committee grant to \$10 million in 2025 and extended the grant to 2028.

a. More recently, we worked with NTUC to expand the grant to better support Queen Bee companies to drive cluster-level transformation.

b. I am heartened to hear Mr Ng Chee Meng's sharing of how CTC has helped many businesses transform, while improving the lives of workers. I particularly encourage him to further expand the CTC initiative, and share his ambition to elevate CTCs to a tripartite level. We look forward to working with tripartite partners to jointly explore ways to support businesses and workers.

31. There are calls for us to go beyond project-level interventions, and to make a more structural shift in financial incentives for companies to invest in workers.

a. Structural mechanisms – the likes of what Mr Low called for – already exist. Grants like the SkillsFuture Enterprise Credit create direct financial incentive for companies to invest in the capabilities of their workers. We will continue to review and enhance such support as part of the work of the SWDA.

b. I think all of us should appreciate the importance of supporting enterprise transformation, not as a blanket "boiling the ocean" strategy, but differentiated by sector, company by company, supporting their enterprise transformation. Even though it is more tedious, I believe it is also in the long run more sustainable.

32. Lastly, we have strengthened transition support for workers who are displaced, so that they can bounce back stronger.

33. The Government cannot protect every job, but will certainly do our best to support and protect every worker, because every worker matters. With AI transition, jobs will also change. Some jobs may get replaced. Going through transition can be challenging. But I assure all of our workers that you will not walk alone. That is why we must strengthen our support mechanisms as the pace of change accelerates. This is why we launched the SkillsFuture Jobseeker Support (JS) scheme last year as part of the social compact under Forward Singapore.

a. The JSS provides temporary financial relief and job search support to involuntarily unemployed individuals. It has made a difference for many Singaporeans who have returned to work with confidence.

b. Perhaps Mr Andre Low may have some misperceptions about the scheme. It is not a Redundancy Insurance because it doesn't just merely provide a cash payout for support for reemployment. The JSS supports workers in their re-employment journey. It provides a degree of financial support for the lower- and middle-income people.

the first available job that may not be a good fit. WSG complements the Jobseeker Support scheme with hands-on, wraparound support to improve the quality of

c. We are cognisant of the fact that prolonged unemployment can harm workers' longer-term career prospects. That is why the financial support is time-based. We believe that the first two to three months when the worker is involuntarily unemployed is when the impact is most felt. So what we do is we try to raise the level to encourage workers, to provide that lift, and when it tapers downward, we hope that the workers will be able to find the right jobs for them.

d. But we hear calls. Mr Ng Chee Meng and Mr Patrick Tay proposed to raise the JS scheme income threshold to better support higher-income individuals who have been improved and we will study this carefully.

34. We also hear Mr Ng Chee Meng's call for earlier notification of retrenchments to the Government, before employees' last working day, and Mr Mark Lee's reflection on this.

35. We want to strike the right balance. Tripartite partners are already discussing shortening the retrenchment notification duration under the ongoing Employer's Guide to see notification to the Government happening before or by the last day of work of affected workers as far as possible. This would also enable timelier employment.

36. To Mr Kenneth Tiong's suggestion on strengthening protections for displaced workers, the Employment Act already provides broad-based protections by setting notice periods and dispute resolution avenues. This applies to all types of displacements, not just due to AI.

Ensuring Fair and Resilient Growth in an AI Era

37. Our AI-enabled growth must be anchored in fairness, resilience and shared opportunity. This is not something that will happen naturally.

38. Mr Vikram Nair asked what safeguards we have to ensure that workers are treated fairly as AI adoption increases. The Government has developed the Framework for Agentic AI and AI Verify to establish clear responsibilities for actors across the AI supply chain, giving clarity to AI developers and users on responsible technology solution providers.

39. Mr Saktiandi Supaat rightly pointed out that AI adoption is uneven, at varying speeds across sectors, worker segments and businesses of different sizes.

40. Without deliberate effort, the gains from AI could flow to some while others are left behind. In China, the courts have ruled that it is illegal to replace employees.

41. SMS Desmond Tan and Mr Sanjeev Kumar Tiwari spoke about the work NTUC has done in recent years to equip workers with AI-related skills and supporting

a. These are exactly the kind of capabilities we should draw on to ensure that more workers and businesses know what support is available and that AI augments the economy.

b. This is why we supported wholeheartedly NTUC's proposal to form the Tripartite Jobs Council (TJC).

42. The TJC will take a coordinated tripartite approach to mobilise enterprises and workers towards fair and resilient growth in an AI era.

a. As Associate Professor Terence Ho noted AI must augment workers, not replace them. We will leverage SNEF's business advisors and NTUC's CTCs to drive growth and enhance job roles, prioritising technologies that augment human capabilities, and not replace them.

b. We will harness our tripartite partners' strong links with workers, unions and employers to drive broad-based AI training across sectors and career stage. AI reshapes our economy. In businesses that have to undergo restructuring, we will work with the businesses to help pivot, upskill and reskill the workers.

43. We will also pay special attention to students and younger workers who are anxious about AI's impact on entry-level jobs.

a. The Institutes of Higher Learning (IHLs) continue to enhance their curriculum to keep pace with AI advancements. All IHLs will offer selected AI-related courses at a discount for a year, starting in the second half of this year.

b. Graduates entering the workforce can also tap on MOE's SkillsFuture Work-Study Programmes which combine classroom training with on-the-job training to gain skills and experience that employers value.

44. Associate Professor Jamus Lim called for the expansion of youth apprenticeship pathways. We agree. Structured learning must be complemented with real-world experience.

45. We will continue to work with sector leads like MAS and IMDA to support apprenticeships in high-growth sectors, learning from our experience from the program Traineeships (GRIT). We stand ready to refine and expand these programmes if necessary.

C. CONCLUSION

46. Mr Speaker, let me conclude.

47. Singapore has weathered deep disruptions before, from the Asian Financial Crisis, to SARS, to COVID-19. Each time, each crisis, we came through not because of answers, but because workers, businesses and Government stood shoulder to shoulder.

That is the strength of tripartism.

a. In many countries, AI becomes a tug of war — workers on one end, businesses on the other. Progress contested, trust strained.

b. Singapore does not have to go down that road. We work together to make our entire economic pie bigger, and make sure the benefits are widely shared

48. To our workers wondering where you stand, there will always a place for you. Your experience, your judgment matters more than ever, and your commitment the years, through the decades – we are deeply appreciative. Thank you very much. To all of our young graduates, your ideas and your drive matters more than ever that MOS Jasmin talked about just now, matters more than ever, and we are behind you. For all of our businesses, if you are unsure or uncertain as to where to start alone. We will walk alongside you. We will help you to transform. We will help you compete, so that together you can create better opportunities for both your business

49. We will not leave the future of work and the livelihoods of Singaporeans to chance. We will shape a transformation that is inclusive, forward thinking, and anchored

50. Singaporeans will never be helpless passengers to an AI-driven future, but Singaporeans will be our fellow co-pilots as our AI journey takes flight.

51. And we will move forward in the Singapore way, with Government, employers and the unions working together to ensure that our AI transformation creates good for every Singaporean worker towards a better future, because every worker matters.

52. With this, I rise in support of this Motion.